



INDIAN POLITY

MUNICIPALITIES

- FEATURES OF 74th CAA
- TYPES OF URBAN GOVERNMENTS

MODULE – 92



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SALIENT FEATURES OF 74TH AMENDMENT ACT

9. FINANCES



The state legislature may:

- a) **Authorize** a municipality to levy, collect and appropriate taxes, duties, tolls and fees;
- b) **Assign** to a municipality taxes, duties, tolls and fees levied and collected by state government;
- c) Provide for making **grants-in-aid** to the municipalities from the consolidated fund of the state; and
- d) Provide for **constitution of funds** for crediting all moneys of the municipalities.

SALIENT FEATURES OF 74TH AMENDMENT ACT

10. FINANCE COMMISSION

- 1** **The principles that should govern:**
 - a) The **distribution** between the state and the municipalities, the net proceeds of the taxes, duties, tolls and fees levied by the state.
 - b) The **determination of the taxes**, duties, tolls and fees that may be assigned to the municipalities.
 - c) The **grants-in-aid** to the municipalities from the consolidated fund of the state.

- 2** The measures needed to improve the **financial position** of the municipalities.

- 3** Any other matter referred to it by the **governor** in the interests of sound finance of municipalities.

The governor shall place the recommendations of the commission along with the action taken report before the state legislature.

SALIENT FEATURES OF 74TH AMENDMENT ACT

11. AUDIT OF ACCOUNTS

The **state legislature** may make provisions with respect to the maintenance of accounts by municipalities and the auditing of such accounts.

12. APPLICATION TO UTs

The **President of India** may direct that the provisions of this act shall apply to any union territory subject to such exceptions and modifications as he may specify.

13. EXEMPTED AREAS

- The **act does not apply to the scheduled areas and tribal areas** in the states .
- It shall also not affect the functions and powers of the Darjeeling Gorkha Hill Council of the West Bengal.



SALIENT FEATURES OF 74TH AMENDMENT ACT

14. DISTRICT PLANNING COMMITTEE

- 1 Every state shall constitute a district planning committee to consolidate the plans prepared by panchayats and municipalities in the district, and to prepare a draft development plan for the district as a whole.
- 2 The act lays down that **4/5th of the members of a DPC should be elected by the elected members of the district panchayat and municipalities in the district** from amongst themselves.
- 3 The representation of these members in the committee should be in proportion to the ratio between the rural and urban populations in the district.
- 4 In preparing the draft development plan, a district planning committee shall
 - Have regard to—
 - **Matters of common interest between the Panchayats and the Municipalities** including spatial planning, sharing of water and other physical and natural resources, the integrated development of infrastructure and environmental conservation;
 - **The extent and type of available resources** whether financial or otherwise;
 - Consult such institutions and organisations as the Governor may specify.

SALIENT FEATURES OF 74TH AMENDMENT ACT

15. METROPOLITAN PLANNING COMMITTEE



- 1 Every metropolitan area shall have a metropolitan planning committee to prepare a draft development plan.

- 2 The act lays down that $2/3^{\text{rd}}$ of the members of a metropolitan planning committee should be elected by the elected members of the municipalities and chairpersons of the panchayats in the metropolitan area from amongst themselves.

- 3 The representation of these members in the committee should be in proportion to the ratio between the population of the municipalities and the panchayats in that metropolitan area.

SALIENT FEATURES OF 74TH AMENDMENT ACT

15. METROPOLITAN PLANNING COMMITTEE

4 *In preparing the draft development plan, a metropolitan planning committee shall:*

- Have regard to—
 - i. The plans prepared by the Municipalities and the Panchayats in the Metropolitan area;
 - ii. Matters of common interest between the Municipalities and the Panchayats, including co-ordinated spatial planning of the area, sharing of water and other physical and natural resources, the integrated development of infrastructure and environmental conservation;
 - iii. The overall objectives and priorities set by the Government of India and the government of the state;
 - iv. the extent and nature of investments likely to be made in the Metropolitan area by governmental agencies.
- Consult such institutions and organisations as the Governor may specify



SALIENT FEATURES OF 74TH AMENDMENT ACT

16. CONTINUANCE OF EXISTING LAWS AND MUNICIPALITIES

All the state laws relating to municipalities shall continue to be in force until the expiry of one year from the commencement of this act.



17. BAR TO INTERFERENCE BY COURTS IN ELECTORAL MATTERS

- The act bars the interference by courts in the electoral matters of municipalities.
- It further lays down that no election to any municipality is to be questioned except by an election petition presented to such authority and in such manner as provided by the state legislature.

SALIENT FEATURES OF 74TH AMENDMENT ACT

18. TWELFTH SCHEDULE

It contains the following 18 functional items placed within the purview of municipalities:

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|---|--|
| 1 Urban planning including town planning | 6 Public health, sanitation, conservancy and solid waste management |
| 2 Regulation of land use and construction of buildings | 7 Fire services |
| 3 Planning for economic and social development | 8 Urban forestry, protection of the environment and promotion of ecological aspects |
| 4 Roads and bridges | 9 Safeguarding the interests of weaker sections of society, including the handicapped and mentally retarded |
| 5 Water supply for domestic, industrial and commercial purposes; | 10 Slum improvement and upgradation |

SALIENT FEATURES OF 74TH AMENDMENT ACT

18. TWELFTH SCHEDULE

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|--|---|
| 11 Urban poverty alleviation | 15 Cattle ponds, prevention of cruelty to animals |
| 12 Provision of urban amenities and facilities such as parks, gardens, playgrounds | 16 Vital statistics including registration of births and deaths |
| 13 Promotion of cultural, educational and aesthetic aspects | 17 Public amenities including street lighting, parking lots, bus stops and public conveniences |
| 14 Burials and burial grounds, cremations and cremation grounds and electric crematoriums | 18 Regulation of slaughter houses and tanneries. |

MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

1. MUNICIPAL CORPORATION



A municipal corporation has three authorities, namely, the council, the standing committees and the commissioner.

1 Municipal corporations are created for the **administration of big cities** like Delhi, Mumbai, Kolkata, Hyderabad, Bangalore and others.

2 They are established in the states by the acts of the concerned state legislatures, and in the union territories by the acts of the Parliament of India.

3 There may be one common act for all the municipal corporations in a state or a separate act for each municipal corporation.

MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

1. MUNICIPAL CORPORATION

COUNCIL

- 1 The Council is the **deliberative and legislative wing** of the corporation.
- 2 It consists of the **Councilors directly elected by the people**, as well as a few nominated persons having knowledge or experience of municipal administration.
- 3 In brief, the composition of the Council including the reservation of seats for SCs, STs and women is governed by the 74th Constitutional Amendment Act.
- 4 The Council is headed by a **Mayor**. He is assisted by a **Deputy Mayor**.
- 5 He is elected in a majority of the states for a one-year renewable term.
- 6 He is basically an ornamental figure and a formal head of the corporation.
- 7 His main function is to preside over the meetings of the Council.

MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

1. MUNICIPAL CORPORATION

STANDING COMMITTEE

- The standing committees are created **to facilitate the working of the council**, which is too large in size.
- They deal with public works, education, health, taxation, finance and so on.
- They take decisions in their fields.

MUNICIPAL COMMISSIONER

- The municipal commissioner is **responsible for the implementation of the decisions taken by the council and its standing committees.**
- Thus, he is the chief executive authority of the corporation.
- He is appointed by the state government and is generally a **member of the IAS.**

MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

2. MUNICIPALITY



Like a municipal corporation, a municipality also has three authorities, namely, the council, the standing committees and the chief executive officer.

- 1** The municipalities are established for the **administration of towns and smaller cities.**
- 2** Like the corporations, they are also set up in the states by the acts of the concerned state legislatures and in the union territory by the acts of the Parliament of India.
- 3** They are also known by various other names like municipal council, municipal committee, municipal board, borough municipality, city municipality and others.

MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

2. MUNICIPALITY

Council:

- The council is the deliberative and legislative wing of the municipality.
- It consists of the councillors directly elected by the people.
- **The council is headed by a president/chairman.** He is assisted by a vicepresident/vice-chairman.
- He presides over the meetings of the council.
- Unlike the Mayor of a municipal corporation, he plays a significant role and is the pivot of the municipal administration.
- Apart from presiding over the meetings of the Council, he enjoys executive powers.

Standing Committees :

- The standing committees are created to facilitate the working of the council.
- They deal with public works, taxation, health, finance and so on.



Chief Executive Officer:

The chief executive officer/chief municipal officer is responsible for day-to-day general administration of the municipality. He is appointed by the state government.



MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

3. NOTIFIED AREA COMMITTEE

A notified area committee is created for the administration of two types of areas

A fast developing town due to industrialization



A town which does not yet fulfil all the conditions necessary for the constitution of a municipality, but which otherwise is considered important by the state government

Since it is established by a notification in the government gazette, it is called as notified area committee.

TYPES OF URBAN GOVERNMENTS

3. NOTIFIED AREA COMMITTEE



Thus, it is neither an elected body nor a statutory body.

- 1** Though it functions within the framework of the State Municipal Act, **only those provisions of the act apply to it which are notified in the government gazette by which it is created.**
- 2** It may also be entrusted to exercise powers under any other act.
- 3** Its powers are almost equivalent to those of a municipality.
- 4** But unlike the municipality, it is an **entirely nominated body**, that is, all the members of a notified area committee including the chairman are nominated by the state government.

MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

4. TOWN AREA COMMITTEE

A town area committee is set up for the administration of a small town.



- 1 It is a **semi-municipal authority** and is entrusted with a limited number of civic functions like drainage, roads, street lighting, and conservancy
- 2 It is **created by a separate act of a state legislature**. Its composition, functions and other matters are governed by the act.
- 3 It may be **wholly elected or wholly nominated** by the state government or **partly elected and partly nominated**.

MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

5. CANTONMENT BOARD

DID YOU KNOW?

The Cantonments Act of 2006 was enacted to consolidate and amend the law relating to the administration of cantonments with a view to impart greater democratization, improvement of their financial base to make provisions for developmental activities and for matters connected with them.

- 1 A cantonment board is established for **municipal administration for civilian population in the cantonment area**.
- 2 It is set up under the provisions of the **Cantonments Act of 2006**—a legislation enacted by the Central government.
- 3 It works under the administrative control of the **Defence Ministry of the Central government**.

Thus, unlike the above four types of urban local bodies, which are created and administered by the state government, a cantonment board is created as well as administered by the Central government.

MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

5. CANTONMENT BOARD



4 A cantonment board consists of partly elected and partly nominated members.

5 The elected members hold office for a term of five years while the nominated members continue so long as they hold the office in that station.

6 The military officer commanding the station is the ex-officio president of the board and presides over its meetings.

7 The executive officer of the cantonment board is appointed by the President of India.

8 He implements all the resolutions and decisions of the board and its committees.

9 He belongs to the central cadre established for the purpose

MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

6. TOWNSHIP



BHEL TOWNSHIP, BHOPAL

- 1 This type of urban government is established by the large public enterprises to provide civic amenities to its staff and workers who live in the housing colonies built near the plant.

- 2 The enterprise appoints a town administrator to look after the administration of the township.
- 3 He is assisted by some engineers and other technical and non-technical staff.
- 4 Thus, the township form of urban government has no elected members.
- 5 In fact, it is an extension of the bureaucratic structure of the enterprises.

TYPES OF URBAN GOVERNMENTS

7. PORT TRUST



VOC PORT TRUST

- 1 The port trusts are established in the port areas like Mumbai, Kolkata, Chennai and so on for two purposes:
 - a) To manage and protect the ports;
 - b) To provide civic amenities.
- 2 A port trust is created by an **Act of Parliament**.
- 3 It consists of **both elected and nominated members**.
- 4 Its chairman is an official. Its civic functions are more or less similar to those of a municipality.

TYPES OF URBAN GOVERNMENTS

8. SPECIAL PURPOSE AGENCY



1 In addition to these seven area-based urban bodies, the states have set up **certain agencies to undertake designated activities** or specific functions that 'legitimately' belong to the domain of municipal corporations or municipalities or other local urban governments.

2 In other words, these are **function-based and not area-based**.

3 They are known as 'single purpose', 'uni-purpose' or 'special purpose' agencies or 'functional local bodies'.



Maharashtra Pollution Control Board

महाराष्ट्र प्रदूषण नियंत्रण मंडळ

MUNICIPALITIES

TYPES OF URBAN GOVERNMENTS

8. SPECIAL PURPOSE AGENCY

- 4 Some such bodies are:
1. Town improvement trusts.
 2. Urban development authorities.
 3. Water supply and sewerage boards.
 4. Housing boards.
 5. Pollution control boards.
 6. Electricity supply boards.
 7. City transport boards.

- 5 These functional local bodies are established as **statutory bodies** by an act of state legislature or as departments by an **executive resolution**.

- 6 They function as **autonomous bodies** and deal with the functions allotted to them **independently of the local urban governments**, that is, municipal corporations or municipalities and so forth.



Thus, they are not subordinate agencies of the local municipal bodies.

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